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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Global markets extended their recovery during the week, supported by growing optimism that diplomatic negotiations between the US and Iran may help ease tensions surrounding the Strait of Hormuz. While geopolitical risks remain elevated, signs of progress in discussions around restoring shipping activity through the critical energy corridor helped improve investor sentiment and reduce some of the inflation concerns that had unsettled markets in recent weeks.
- Investors increasingly viewed the recent rise in energy prices as a temporary supply shock rather than the start of a broader inflation cycle. As a result, markets began to scale back expectations of an aggressive policy response from major central banks, particularly as inflation pressures outside energy-related sectors remained relatively contained. This supported a pullback in bond yields across major developed markets and improved risk appetite across asset classes.
- At the same time, resilient economic data and strong corporate earnings continued to reinforce confidence in the underlying strength of the global economy. In the US, investor enthusiasm around artificial intelligence remained a key market driver, with semiconductor stocks extending gains after Micron's sharp rally and milestone valuation reinforced expectations of sustained AI-related demand across the technology sector.
- Nevertheless, markets continue to balance optimism around earnings growth and easing geopolitical risks against lingering concerns over energy-driven inflation and the potential for policy rates to remain elevated for longer. Nevertheless, markets remain highly sensitive to developments surrounding Hormuz negotiations, with both bond and equity markets continuing to respond closely to shifts in oil price expectations.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,580	7,473	▲ 1.4%
DAX	25,105	24,889	▲ 0.9%
Nikkei 225	66,928	63,339	▲ 5.7%
Hang Seng	25,417	25,606	▼ (0.7%)
FTSE 100 (FTSE)	10,409	10,466	▼ (0.5%)
Dow Jones	51,032	50,580	▲ 0.9%
Median			**▲ 0.9%**

Source: Investing.com AIB AXYS Research

- Global equity markets remained broadly positive during the week, with the median return across major indices rising 0.9%, as optimism surrounding US-Iran negotiations and easing bond yields continued to support risk assets despite lingering inflation concerns.
- In the US, equities advanced further into record territory, with the S&P 500 rising 1.4% to 7,580 while the Dow Jones Industrial Average gained 0.9% to 51,032. Investor sentiment remained supported by continued strength in AI-linked stocks, with semiconductor shares extending gains following strong demand expectations and Micron's milestone valuation, reinforcing confidence in the broader technology sector.
- Across Europe and Asia, markets were mixed. Germany's DAX advanced 0.9% to 25,105 while Japan's Nikkei 225 gained 5.7% to 66,928, supported by easing bond yields, continued yen weakness and strong technology-related earnings. In contrast, Hong Kong's Hang Seng Index declined 0.7% to 25,417 amid concerns around China's domestic demand recovery, while the FTSE 100 benefited from strength in energy and commodity-linked counters.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.47%	4.57%	▼ (10.5bps)
UK 10 Yr Gilt	4.80%	4.91%	▼ (10.7bps)
Germany 10 Yr Bund	2.98%	3.03%	▼ (5.7bps)
Japan 10 Year Bond	2.69%	2.76%	▼ (7.4bps)

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond markets rallied during the week, with yields declining across major developed economies as easing oil prices and improving prospects for a diplomatic resolution in the Middle East helped moderate inflation expectations.
- In the US, the 10-year Treasury yield fell by 10.5 bps to 4.47%, as investors increasingly viewed recent inflation pressures as largely energy-driven and unlikely to trigger an immediate shift in Federal Reserve policy. The decline also reflected renewed demand for safe government debt following the sharp rise in yields earlier in the quarter.
- Across Europe, Germany's 10-year Bund yield declined by 5.7 bps to 2.98%, while the UK's 10-year gilt yield fell by 10.7 bps to 4.80%. The move lower in yields came as investors reassessed growth prospects amid softer economic momentum and growing expectations that central banks may adopt a more measured approach after recent hawkish repricing. This aligns with Standard Chartered's view that much of the expected ECB tightening path is already reflected in bond markets.
- In Asia, Japan's 10-year government bond yield declined by 7.4 bps to 2.69%, retreating from recent highs as markets moderated expectations around the pace of monetary policy normalization despite persistent domestic inflation pressures.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7183	0.7127	▲ 79bps
USD/JPY	159.430	159.200	▲ 14bps
GBP/USD	1.347	1.343	▲ 31bps
EUR/USD	1.166	1.160	▲ 53bps
US Dollar Index	98.90	99.19	▼ (29bps)

Source: Investing.com AIB AXYS Research

- The US dollar weakened modestly during the week, with the US Dollar Index declining by 29 bps to 98.90, as improving sentiment around US-Iran negotiations reduced demand for traditional safe-haven assets.
- Major currencies strengthened against the dollar, with the British Pound and Euro rising by 31 bps and 53 bps respectively to 1.347 and 1.166. The gains reflected improving global risk appetite and easing concerns around a prolonged energy supply shock following signs of progress in diplomatic talks surrounding the Strait of Hormuz.
- Meanwhile, the Japanese Yen weakened, with USD/JPY rising by 14 bps to 159.430, while the Australian dollar strengthened by 79 bps to 0.7183, supported by renewed demand for risk-sensitive currencies as market volatility eased.

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